



REPRESENT LABS INC.

# Investment Milestone Proposal

\$1,000,000 Milestone-Based Investment

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**\$50,000 ACTIVATION AT SIGNING – EVERY  
ADDITIONAL DOLLAR GATED BY VERIFIED USER  
PROOF**

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Prepared for Phil and Investment Partners

Prepared by Lance Morrison (Founder & CEO) and Daniel Morrison (Co-Founder)

JUNE 2026 · CONFIDENTIAL

## THE ASK

# \$50,000 *to start.*

**Initial Activation Investment:** \$50,000 for 1% equity, released at signing.

Up to **an additional \$950,000** available through milestone-based financing, released only after agreed user, product, retention, and revenue benchmarks are met.

| AT SIGNING | MILESTONE 1 | MILESTONE 2 | MILESTONE 3 | MILESTONE 4 | MILESTONE 5 |
|------------|-------------|-------------|-------------|-------------|-------------|
| \$50K      | \$50K       | \$150K      | \$200K      | \$250K      | \$300K      |

You fund proof, not promises. The first **\$50,000** is the only capital committed before 200 registered users – including at least 100 verified users – exist, and no stage after it releases until the prior stage's target is independently verified.

## WHY NOW

# Alberta has set the date.

- Alberta has a fixed **October 19, 2026** referendum timeline.
- Recent citizen-led activity has shown real demand for civic participation.
- Legacy petition systems can be slow, challengeable, and vulnerable to delay.
- Represent can test verified civic participation in a real market under real urgency.
- The milestone structure lets investors fund proof, not speculation.

*The referendum creates urgency. The verified civic network creates the company.*

*October 19 creates the first concentrated test of demand; the verified civic network is the long-term asset.*

ACTIVATION + FIVE MILESTONES · EIGHTEEN MONTHS

# Milestone Summary

| # | MILESTONE · WINDOW                                                           | WHAT IT PROVES                                       | FUNDING   |
|---|------------------------------------------------------------------------------|------------------------------------------------------|-----------|
| — | <b>Activation — foundation &amp; launch</b><br>AT SIGNING (JUL)              | Foundation + campaign engine, before August          | \$50,000  |
| 1 | <b>Prove — first verified Albertans</b><br>MONTH 1 (AUG)                     | People sign up; the engine scales on proof           | \$50,000  |
| 2 | <b>Alberta Verified — the Referendum Sprint</b><br>MONTHS 2-4 (SEP → OCT 18) | Albertans will verify identity at scale              | \$150,000 |
| 3 | <b>The Results Moment &amp; Retention</b><br>MONTHS 4-7 (OCT 19 → JAN)       | The platform survives its event; users stay & engage | \$200,000 |
| 4 | <b>Provincial Density &amp; Expansion</b><br>MONTHS 7-12 (FEB → JUN 2027)    | Alberta-wide reach + first organization adoption     | \$250,000 |
| 5 | <b>Scale &amp; Revenue</b><br>MONTHS 12-18 (JUL → DEC 2027)                  | The market exists and will pay                       | \$300,000 |

CUMULATIVE VERIFIED-USER TARGETS

200 registered / 100+ verified gate → 1,000 verified (M1) → 3,500 (M2, by Oct 18) → 10,000 (M3) → 25,000 (M4) → 50,000 (M5)

ACTIVATION · AT SIGNING

**\$50,000**  
1% EQUITY

# Activation

## BENCHMARK REQUIRED TO UNLOCK MILESTONE 1

**200 registered users — including at least 100 verified users**, with verification-funnel data documented and reviewed by both parties.

## WHAT THIS PROVES

*The team can launch the company and acquire the first real Albertans.*

## USE OF FUNDS

|                                          |                                                                     |
|------------------------------------------|---------------------------------------------------------------------|
| Legal, compliance & investor readiness   | Incorporation, shareholder agreement, advertising compliance        |
| Product & verification readiness         | Onboarding polish, verification copy, funnel tracking               |
| User acquisition & campaign distribution | First paid acquisition tests, creative production, founder outreach |
| Operations & founder execution           | Launch coordination, partner meetings, administrative overhead      |

## MILESTONE 1 · PROVE

**\$50,000**  
1% EQUITY

# Milestone 1

## BENCHMARK REQUIRED TO UNLOCK MILESTONE 2

**1,000 verified users** · cost per verified user documented by channel.

## WHAT THIS PROVES

*The engine scales on real data — channels work, conversion can be measured, the public can see verified turnout.*

## USE OF FUNDS

|                                          |                                                   |
|------------------------------------------|---------------------------------------------------|
| User acquisition & campaign distribution | Scaled paid + organic in best-performing channels |
| Public trust & reporting                 | First public verified-turnout report              |
| Product & verification readiness         | Funnel + analytics infrastructure                 |
| Operations & founder execution           | Continuing month-one execution                    |

MILESTONE 2 · ALBERTA VERIFIED — THE REFERENDUM SPRINT

**\$150,000**  
3% EQUITY

# Milestone 2

**BENCHMARK REQUIRED TO UNLOCK MILESTONE 3**

**3,500 verified users** by Oct 18 (floor 2,500) · verification completion above 50% · 5 partner-led votes running · 3+ Alberta media stories.

**WHAT THIS PROVES**

*Albertans will complete identity verification at scale, on a deadline, with public consequences.*

**USE OF FUNDS**

|                                          |                                                                        |
|------------------------------------------|------------------------------------------------------------------------|
| User acquisition & campaign distribution | Paid acquisition, creators, town halls, road campaign, QR              |
| Public trust & reporting                 | Weekly tally, PR & op-ed placement                                     |
| Operations & founder execution           | Campaign coordinator, partner outreach, on-the-ground field operations |
| Product & verification readiness         | Verification at scale, reliability under load                          |

## MILESTONE 3 · THE RESULTS MOMENT &amp; RETENTION

\$200,000  
4% EQUITY

# Milestone 3

## BENCHMARK REQUIRED TO UNLOCK MILESTONE 4

**10,000 verified users** (floor 7,500) · 30-day retention above 25% · results-comparison report published · 2+ organization pilots started.

## WHAT THIS PROVES

*The platform survives its activation event and converts retention into a permanent civic asset.*

## USE OF FUNDS

|                                          |                                                                         |
|------------------------------------------|-------------------------------------------------------------------------|
| Public trust & reporting                 | Referendum Results Night, comparison report, Alberta Verified Dashboard |
| User acquisition & campaign distribution | Retention + sustained acquisition                                       |
| Product & verification readiness         | Dashboard build, retention features                                     |
| Operations & founder execution           | Field organizers, partner support                                       |



## MILESTONE 4 · PROVINCIAL DENSITY &amp; EXPANSION

**\$250,000**  
5% EQUITY

# Milestone 4

**BENCHMARK REQUIRED TO UNLOCK MILESTONE 5**

**25,000 verified users** · Android live on Google Play · at least one organization or municipal pilot underway (paid or unpaid).

**WHAT THIS PROVES**

*Provincial density and early organization adoption.*

**USE OF FUNDS**

|                                          |                                                      |
|------------------------------------------|------------------------------------------------------|
| User acquisition & campaign distribution | Provincial road campaign, town halls, sustained paid |
| Product & verification readiness         | Android readiness, scaling, dashboard upgrades       |
| Public trust & reporting                 | Alberta case-study production                        |
| Operations & founder execution           | Regional ops, organization-pilot enablement          |

## MILESTONE 5 · SCALE &amp; REVENUE

**\$300,000**  
6% EQUITY

# Milestone 5

**FINAL-STAGE BENCHMARK — FULL 20% ONLY ISSUED WHEN THIS STAGE FUNDS**

**50,000 verified users** · first paid contract (government or organization) · **\$10,000+ monthly recurring revenue** · Seed-ready data room.

**WHAT THIS PROVES**

*Verified civic participation becomes recurring revenue.*

**USE OF FUNDS****User acquisition & campaign distribution**

Sustained province-wide acquisition

**Operations & founder execution**

First marketing/community hire, scaled execution

**Legal, compliance & investor readiness**

Seed round preparation, data room

**Product & verification readiness**

Security, scaling, dashboard scaling

# Equity Terms

\$5,000,000

PRE-MONEY

\$6,000,000

POST-MONEY

20%

FULLY-FUNDED

The investment of \$1,000,000 is offered at a **\$5,000,000 pre-money valuation (\$6,000,000 post-money) for 20% fully-funded.**

**Proposed structure – equity released pro-rata with capital:** rather than transferring the full 20% on signing, shares are issued as each milestone funds (1% at signing, then 1%, 3%, 4%, 5%, and 6% across Milestones 1–5 – totalling 20% at full funding). This protects both sides: the investor never holds equity beyond capital actually invested, and the company never sells a fifth of itself against funds that benchmarks may not unlock. Alternative implementations with identical economics (milestone-priced share issuances, or warrants vesting per milestone) are acceptable; **Final structure and documentation should be prepared by legal counsel in the form both parties agree is most appropriate.**

If the investor requires the full 20% on signing, the company requests a reciprocal commitment: milestones become obligations subject only to benchmark achievement (not discretionary), with an agreed remedy (equity clawback or buy-back at cost) for any milestone not funded after benchmarks are met.

## MILESTONE ACCELERATION

If a milestone's benchmarks are met materially ahead of its window (30+ days early), the subsequent tranche releases on demonstration of the benchmarks, without waiting for the calendar.

## THE GOAL

# Toward the Seed Round.

The 18-month milestone plan is engineered to produce a **Seed-ready company by late 2027**. The benchmarks across Milestones 4 and 5 – verified users, retention, first paid contract, monthly recurring revenue, and a Seed-ready data room – are precisely the traction signals investors price at the next round.

This is how investor capital becomes investor return: not through dividends or interest, but through stake appreciation at the Seed round valuation step-up.

## CONSERVATIVE ILLUSTRATIVE SCENARIOS

| SEED ROUND SCENARIO | POST-MONEY | INVESTOR STAKE (POST-DILUTION) | RETURN ON \$1M |
|---------------------|------------|--------------------------------|----------------|
| <b>Base</b>         | \$20M      | 16% = \$3.2M                   | <b>3.2×</b>    |
| <b>Upside</b>       | \$40M      | 16% = \$6.4M                   | <b>6.4×</b>    |

*Scenarios are illustrative and intentionally conservative. They assume a representative ~20% dilution at the Seed round. Actual valuation depends on traction, market conditions, and competitive dynamics at the time of raise.*



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Lance Morrison, Founder & CEO